

NextEra Energy, Inc.

FPL's Rate Case Is Won and the Backlog Is Real; The Dominion Deal and OBBBA's Clock Cap the Upside From Here

NEE, NYSE | Electric Utilities

NEUTRAL

Price (17 Jun 2026): **\$85.73**

Price Target (Dec-27): **\$95.00**

INVESTMENT THESIS

We initiate coverage of NextEra Energy at Neutral with a Dec-27 price target of \$95.00, a total return of ~13.7% (10.8% on price, 2.9% from the current dividend) against the \$85.73 close of 17 June. NextEra is two stories bolted together. Florida Power & Light, roughly two-thirds of earnings, closed its rate fight on 20 November 2025: a four-year, \$6.9bn settlement at a 10.95% allowed ROE, versus FPL's original ask of ~\$9.8bn at 11.90%, locking in \$945mm of 2026 base-rate increases and \$705mm in 2027. That is genuine de-risking, though the Office of Public Counsel is pursuing an appeal at the Florida Supreme Court. NextEra Energy Resources ended Q1 2026 with a record 33GW contracted backlog after adding 4GW in the quarter, real evidence of clean-power demand. The fashionable data-center bull case is running well ahead of the contract book, though: FPL had about 21GW of large-load "interest" as of the April call and zero signed large-load customers.

Layered on top since 18 May is the announced \$67bn all-stock acquisition of Dominion Energy at a 0.8138 exchange ratio, building a \$138bn regulated rate base and lifting the long-term adjusted EPS algorithm to 9%+ from 8%+ standalone. S&P and Moody's called it credit-neutral, correct for an all-stock deal, but it adds 12-18 months of multi-state approval risk on top of a funding gap that is already wide: \$24.6bn of 2025 capex against \$12.5bn of operating cash flow, financed with a new \$4bn ATM program and \$2.0-2.3bn of equity units in the first two months of 2026 alone. OBBBA's July 2026 construction-start deadline is a real clock on the renewables engine underneath all of this. The growth and dividend commitments are more likely than not to hold, but the valuation already assumes as much, and the merger adds risk we think the market is currently pricing generously.

- FPL's rate case is settled: a four-year, \$6.9bn deal at 10.95% ROE approved 20 November 2025, replacing an 11.90% ask, with base rates up \$945mm in 2026 and \$705mm in 2027.
- Energy Resources backlog is real and growing: 33GW at Q1 2026 after a record 4GW quarter, but FPL's own large-load pipeline (21GW interest, 12GW advanced) has zero signed contracts.
- The \$67bn Dominion deal is credit-neutral and immediately accretive, but adds 12-18 months of multi-state approval risk atop \$6bn of fresh 2026 equity issuance.

Akul Veauli

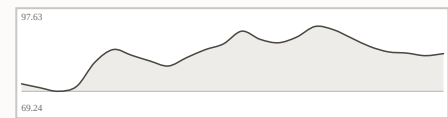
Akul Veauli

Equity Research Analyst

akul.veauli@akulveauli.com

Akul Veauli Securities LLC

PRICE PERFORMANCE



Indicative 12-month price path (\$); endpoints reflect the 52-week range of \$69.24-\$97.63 and the \$85.73 close of 17 Jun 2026.

COMPANY DATA

Shares O/S (mm)	2,085
Market Cap (\$bn)	178.7
Enterprise Value (\$bn)	281.2
52-Week Range	\$69.24 - \$97.63
Avg. Daily Volume (mm)	18.4
Free Float	~99%
Short Interest (% of S/O)	2.6%
Beta (5Y)	~0.65
P/E (TTM, GAAP)	21.8x
Forward P/E (NTM, adj.)	21.6x
Price / Book	3.25x
Dividend / Share (ann.)	\$2.4928
Dividend Yield	2.9%
Credit Rating (S&P / Moody's)	A- / Baa1
FPL Allowed ROE (2026-29)	10.95%
Fiscal Year End	December

KEY METRICS / ESTIMATES

(\$/sh)	FY24A	FY25A	FY26E	FY27E
Adjusted EPS	\$3.43	\$3.71	\$3.97	\$4.36
% growth	-	8.2%	7.0%	9.8%
GAAP EPS	\$3.37	\$3.30	-	-
DPS	\$2.060	\$2.266	\$2.493	\$2.64
DPS growth	-	10.0%	10.0%	6.0%
FPL reg. capital	-	8.1%	-	-
ER backlog (GW)	-	30	-	-
P/E (adjusted)	-	-	21.6x	19.7x

FY24A/FY25A per company full-year earnings releases (SEC EDGAR); adjusted EPS is the non-GAAP metric management guides to and is compensated on. FY26E adjusted EPS is company guidance of \$3.92-4.02 issued 27 Jan 2026 and reaffirmed 23 Apr 2026 (management is "targeting the high end"); % growth uses the \$3.97 midpoint. FY27E adjusted EPS of \$4.36 is Street consensus (23 analysts, Barchart/FactSet snapshot dated 27 Mar 2026), close to the \$4.33 the company's own pre-deal 8%+ algorithm implies off the \$3.71 FY25 base; it predates the 18 May 2026 Dominion Energy merger announcement. Further sourcing detail is set out under Important Disclosures.

COMPANY OVERVIEW

NextEra Energy is the largest US electric utility holding company by market capitalization, operating through two principal segments. Florida Power & Light serves roughly 5.9 million customer accounts across Florida's east and lower west coasts under a rate-regulated monopoly franchise, generated \$5.0bn of FY2025 net income and is entering a new four-year base-rate plan (2026-2029) alongside a guided \$90-100bn capital program through 2032. NextEra Energy Resources develops, builds and operates wind, solar, battery storage and gas generation under long-term contracts with utilities, cooperatives, municipalities and increasingly hyperscalers, and contributed \$3.5bn of FY2025 adjusted earnings on a 30GW year-end contracted backlog. A smaller nuclear and gas generation fleet and NextEra Energy Transmission round out the portfolio. Since 18 May 2026 the company also has an announced, not yet closed, all-stock agreement to acquire Dominion Energy, the regulated Virginia, North Carolina and South Carolina utility, which would roughly double regulated rate base to \$138bn once it closes.

Q1 2026 RESULTS AND GUIDANCE

Q1 2026 (reported 23 April) was a beat. GAAP EPS was \$1.04 versus \$0.40 in Q1 2025 (+160%, largely prior-year mark-to-market items), while the more comparable adjusted EPS was \$1.09 versus \$0.99, +10% YoY. Consolidated adjusted net income was \$2.275bn versus \$2.038bn, on operating revenue of \$6.701bn versus \$6.247bn. CEO John Ketchum called it "strong first-quarter results, with adjusted earnings per share increasing by 10% year-over-year."

FPL's net income rose to \$1.462bn from \$1.316bn, EPS \$0.70 versus \$0.64, on regulatory capital employed growth of +8.8% YoY and roughly 100,000 new customer accounts in the quarter. FPL placed 600MW of solar into service, taking its owned solar fleet above 8.5GW, and reiterated a \$12-13bn capital plan for 2026 within the \$90-100bn program to 2032 discussed below. Bills remain about 30% below the national average, management's central argument for why the settlement's roughly 2% average 2026 bill increase is politically sustainable.

Energy Resources delivered adjusted EPS of \$0.50 versus \$0.44 and adjusted net income of \$1.038bn versus \$908mm. New origination was a record 4GW for the quarter (2.2GW solar, 1.3GW storage, 0.5GW wind), taking the contracted backlog to approximately 33GW net of 0.3GW placed into service since January, building on a 30GW year-end 2025 backlog that itself reflected 13.5GW of full-year origination. Management said expiring contracts are being repriced roughly \$20/MWh above prior levels, evidence of tight supply-demand, though labor constraints on gas construction, crews competing with LNG and data-center projects, are a stated bottleneck. On the data-center opportunity specifically, management described "about 21 gigawatts of current interest" in FPL's large-load tariff with "12 gigawatts in advanced discussions," but said it expects "at least one large-load customer to sign up... by the end of the year," meaning none had signed as of the call. Separately, roughly 30% of Energy Resources' recent backlog additions are attributed to hyperscalers, real and contracted, if still a minority share.

Management reaffirmed full-year 2026 adjusted EPS guidance of \$3.92-4.02 and said it is "targeting the high end," alongside the long-term algorithm of 8%+ CAGR through 2032 (since superseded for the combined company by the Dominion announcement, discussed below) and dividend growth of approximately 10% through 2026, then 6% through 2028.

FLORIDA POWER & LIGHT: THE RATE CASE IS WON, THE CAPITAL PLAN KEEPS GROWING

FPL filed for a new four-year base-rate plan on 3 January 2025 seeking roughly \$9.8bn of cumulative increases at an 11.90% allowed ROE, arguing it needed the revenue to fund a step-up in capital spending. Intervenor, led by the Office of Public Counsel, countered with a \$5.2bn, 10.6%-ROE alternative. The Florida Public Service Commission approved a settlement on 20 November 2025 that split the difference in FPL's favor: \$945mm of base-rate increases effective 2026, \$705mm in 2027, plus separate solar and battery-storage cost-recovery mechanisms in 2028 and 2029, for cumulative four-year increases both sides put at roughly \$6.9bn, at a 10.95% allowed ROE. In exchange, FPL committed not to file another base-rate case before January 2030. Consumer counsel Bradley Marshall has said he expects the case to reach the Florida Supreme Court; we treat that as a tail risk to the settlement's finality rather than the base case, since Florida settlements of this size have historically survived appeal.

The bigger number is the capital program the settlement was designed to fund. FPL guided to \$12-13bn of 2026 capital expenditure and, on the Q1 call, laid out a \$90-100bn investment plan through 2032, which needs regulatory capital employed (effectively rate base) to keep growing at roughly the 8-9% annual pace it posted in FY2025 (+8.1%) and Q1 2026 (+8.8%) for years, not quarters. That is the crux of the balance-sheet debate. NextEra spent \$24.6bn of consolidated capex against \$12.5bn of operating cash flow in FY2025 and issued \$23.4bn of long-term debt; S&P estimates roughly \$29bn of annual negative discretionary cash flow across its forecast period, to be closed with "equity issuances, hybrid securities, asset recycling, and tax equity." NextEra opened a \$4bn at-the-market equity program on 31 December 2025 and priced \$2.0bn of 7.375% equity units (upsizable to \$2.3bn, converting into common stock by February 2029) on 26 February 2026, roughly \$6bn of fresh equity-linked capacity committed in the plan's first two months alone. S&P's leverage buffer is not generous: FFO/debt of 18-19% against downgrade triggers it has set in the mid-to-high teens, which is why continued, sizeable equity issuance is a structural feature of owning this stock, not a one-off.

ENERGY RESOURCES: THE BACKLOG IS REAL, THE DATA-CENTER TAILWIND MOSTLY ISN'T YET

Energy Resources ended Q1 2026 with an approximately 33GW contracted, long-term backlog, up from 30GW at year-end 2025 after a record 4GW of new origination in the quarter. That backlog is genuinely contracted, not a pipeline of interest, and roughly 30% of recent additions are attributed to hyperscaler customers, real, if still minority, evidence that data-center demand is showing up in signed agreements. Management also flagged pricing power: expiring contracts are being repriced at roughly \$20/MWh above prior levels.

Set against that is a much larger and much softer number. As of the April call, FPL alone had "about 21 gigawatts of current interest" in large-load service under its tariff, with "12 gigawatts in advanced discussions," and management's own target is a single signed large-load customer by year-end 2026, a threshold not yet cleared as of our as-of date. Separately, NextEra, the US Department of Commerce and the government of Japan announced on 24 March 2026 up to 9.5GW of new gas-fired generation in Anderson County, Texas (5.2GW) and southwest Pennsylvania (4.3GW), a combined roughly \$33bn of capital cost to be jointly owned by the US and Japanese governments and built and operated by NextEra as part of the broader \$550bn US-Japan trade framework; both hubs still need hyperscaler power-purchase commitments to be bankable, per sell-side commentary, and management has publicly floated a more ambitious goal of eventually reaching 15GW, and "at least 30 gigawatts," of data-center hub generation by 2035, a development target, not a contracted number. The gap between 33GW of signed backlog and 20GW-plus of "interest" is precisely the distinction the market tends to blur; we would only underwrite the former.

The One Big Beautiful Bill Act, signed 4 July 2025, is a real deadline on this engine. Wind and solar projects must begin construction by 4 July 2026 to retain safe-harbor eligibility for the Section 45Y/48E credits, with in-service deadlines of 2029-2030 depending on start date; any project not in service by 31 December 2027 loses the credit outright regardless of when it started. Layered on top, new foreign-entity-of-concern sourcing rules require non-restricted content of 40% of direct costs for projects starting construction in 2026, rising to 60% by 2030. NextEra says it has solar and battery supply secured through 2029 and domestic wind components through 2027, a real hedge, and S&P notes the safe-harbor framework "will support the company's cash flow measures through about 2030." Beyond that date the tax-credit tailwind that has underwritten Energy Resources' returns for a decade goes away, and the backlog will need to clear on economics alone.

THE DOMINION ACQUISITION

On 18 May 2026 NextEra and Dominion Energy announced an all-stock, tax-free merger: 0.8138 NextEra shares for each Dominion share plus a \$360mm one-time cash payment at closing, leaving legacy NextEra holders with about 74.5% of the combined company and Dominion holders about 25.5%. NEE shares fell 4.0% on the announcement. The combined entity keeps the NextEra name and NYSE ticker, dual headquarters in Juno Beach and Richmond with an operating center in Cayce, South Carolina, and would serve roughly 10 million customer accounts across Florida, Virginia, North Carolina and South Carolina on a \$138bn regulated rate base and 110GW of generation, larger than Duke Energy on both counts. Management guided to immediate adjusted EPS accretion at closing, a raised long-term adjusted EPS growth algorithm of 9%+ through 2032 and 2035 (from 8%+ standalone), a combined dividend growth policy of 6% through 2028, a payout ratio below 55% by 2030, and \$2.25bn of customer bill credits in the acquired Dominion territories over the first two post-close years.

Both major rating agencies affirmed ratings the same day: S&P kept NEE at A-/Stable and Moody's kept it at Baa1/Stable, both noting correctly that an all-stock deal adds no incremental leverage and that regulated cash-flow mix rises from about 70% to about 80% of the combined company, a genuine de-risking of the earnings mix. The larger question is timing and execution. Closing is guided at 12-18 months, meaning multi-state regulatory approval (Virginia, North Carolina, South Carolina, Florida and FERC, at minimum) sits between the announcement and any realized synergy, and Dominion brings its own live risk in the Coastal Virginia Offshore Wind project, whose budget has already grown to \$11.4bn from \$9.8bn even at roughly 75% complete. We take the 9%+ combined algorithm at face value as management's stated intent, but no part of it has yet been tested against a single quarter of combined results, and the standalone 2026-2027 numbers that actually drive our valuation still run on the pre-deal 8% algorithm.

NextEra Energy, Inc. -- Summary Financials

\$ in millions, except per-share data	FY24A	FY25A	FY26E	FY27E
Operating revenue	24,753	27,412	-	-
GAAP net income	6,946	6,835	-	-
Adjusted net income	7,063	7,683	-	-
GAAP EPS	\$3.37	\$3.30	-	-
Adjusted EPS	\$3.43	\$3.71	\$3.92-4.02	\$4.36
Dividend per share	\$2.060	\$2.266	\$2.493	\$2.64E
FY24A-FY25A GAAP and adjusted per company release; FY26E adjusted EPS is guidance, FY27E is Street consensus				
FPL net income	4,543	5,012	-	-
Energy Resources adjusted earnings	3,118	3,523	-	-
Capital expenditures	-	24,606	12,000-13,000 (FPL only)	-
Total debt, period end	-	95,619	-	-
Total common equity, period end	-	54,608	-	-
Memo: Energy Resources backlog (GW, PE)	-	~30	~33 (Q1'26)	-

Source: Company quarterly and full-year earnings releases (SEC EDGAR); Q1 2026 earnings release and call (23 Apr 2026); NextEra fixed-income investor materials; S&P Global Ratings (RatingsDirect, 30 Apr 2026); Akul Veauli Securities LLC. FY24A GAAP net income of \$6,946mm and adjusted net income of \$7,063mm, and FY25A GAAP net income of \$6,835mm and adjusted net income of \$7,683mm, are per the original Q4 earnings releases (24 Jan 2025 and 27 Jan 2026 respectively). FY26E adjusted EPS is company guidance of \$3.92-4.02 issued 27 Jan 2026, reaffirmed 23 Apr 2026; the \$3.97 midpoint is used elsewhere in this note where a single figure is required. FY27E adjusted EPS of \$4.36 is Street consensus (23 analysts, Barchart/FactSet snapshot dated 27 Mar 2026, predating the 18 May 2026 Dominion announcement). Dividend per share reflects the annualized rate declared each February (10% YoY growth 2024-2026); the FY27E figure is analyst-derived from the company's guided 6% dividend growth rate for 2026-2028 and is not a declared amount. Total debt and total equity are as of 31 Dec 2025 per the Q4 2025 earnings release; NextEra's 31 Mar 2026 10-Q showed total debt of \$104.4bn and cash of \$2.0bn, used elsewhere in this note for enterprise value. "-" indicates the company does not guide consolidated revenue or GAAP net income, or the item is not meaningful for a forward period-end balance-sheet figure; no revenue or net-income figure has been estimated or invented for FY26E/FY27E.

VALUATION AND PRICE TARGET

Our \$95.00 Dec-27 target is the equal-weighted average of three mechanical anchors and embeds only the multiple the market already assigns the stock, not a re-rating. (1) Forward earnings: the stock's own current NTM adjusted P/E is 21.6x (\$85.73 over the \$3.97 midpoint of FY26E guidance); applying that multiple to a \$4.36 FY27E consensus EPS (23 analysts, dated 27 March 2026, close to the \$4.33 the company's own pre-deal 8% algorithm implies off the \$3.71 2025 base) gives \$94.18 (19x: \$82.84; 24x: \$104.64). (2) Dividend-yield roll-forward: rolling the current \$2.4928 annualized dividend forward 18 months at the guided 6% rate gives \$2.72 by December 2027; holding the current 2.91% trailing yield constant implies \$93.51 (2.5% yield: \$108.76; 3.3% yield: \$82.39). (3) Street consensus price target: we average the two dated snapshots available to us, a pre-deal \$93.19 (23 analysts, 27 March 2026) and a post-deal \$101.45 median (11 analysts, as of 4 June 2026), rather than rely on the smaller, freshest, most bullish sample alone, since several post-announcement targets look un-refreshed for dilution and execution risk; that gives \$97.32. The simple average of the three anchors is \$95.00 (unrounded \$95.03), a total return of 13.7% including the current dividend, which maps to Neutral under our >15%/<0% Overweight/Underweight thresholds.

The consensus dispersion is itself informative: one dated snapshot around the merger announcement put the analyst range as wide as \$55-112, and the sell-side split on our own 11-analyst sample is 8 Buy/3 Hold with no Sell, an unusually one-sided distribution for a stock this exposed to multi-year regulatory and integration risk, which is part of why we discount the freshest consensus figure rather than take it at face value. At target, NEE would trade on 21.8x FY27E EPS (essentially flat to today's 21.6x NTM multiple) and a 2.9% forward dividend yield, in both cases in line with, not above, where the stock trades today.

We would flag two limitations. First, the FY27E consensus EPS we use predates the Dominion announcement and does not reflect any pro forma dilution or accretion from the deal, appropriate given the deal will not close until at least mid-2027 and standalone NEE still drives 2026-2027 per-share results, but a real source of estimate risk once combined-company modeling replaces standalone estimates. Second, our dividend-yield anchor assumes the current 2.91% trailing yield holds; if the market instead demands a higher yield to compensate for the added equity-issuance and execution risk the Dominion deal introduces, that anchor alone would fall toward \$85-88, materially closer to today's price. An analyst who weights that risk more heavily than we do would reasonably land at a lower target and the same Neutral rating; one who takes the post-deal consensus PT at face value, without discounting the smaller sample, would cross into Overweight. We think Neutral is the honest read of a well-run, better-capitalized business whose valuation, at 21.6x forward earnings against a regulated-utility group that typically trades in the high teens, already prices in most of the good news we can verify as of 17 June.

UPSIDE RISKS

Risks that would drive the shares above our price target include, but are not limited to, the following:

- FPL large-load conversion beats expectations. If even a fraction of the 21GW of stated interest converts to signed tariff capacity in 2026-2027, rate-base growth accelerates well above the 8-9% pace embedded in the current \$90-100bn plan, largely without incremental equity dilution since large-load customers fund their own connection capital.
- Dominion integration proves smoother and faster than 12-18 months. Regulatory approval across Virginia, the Carolinas and Florida could clear faster than guided, pulling forward the 9%+ combined EPS algorithm and the 80% regulated cash-flow mix sooner than modeled.
- Energy Resources origination keeps compounding. A record 4GW in Q1 alone, with expiring contracts repricing \$20/MWh higher, suggests the 33GW backlog understates run-rate demand if the pace simply continues through 2026.
- OBBBA safe-harbor banking. Projects that start construction before the 4 July 2026 deadline lock in full 45Y/48E credits with in-service windows out to 2030, giving NextEra's already-secured 2029 solar and battery supply chain more runway than the market may be crediting.
- The FPL settlement holds on appeal. Florida base-rate settlements of this size have a strong record of surviving Supreme Court challenge; a clean affirmation removes the residual regulatory tail risk entirely.
- Rating-agency validation continues. Same-day S&P and Moody's affirmations on the Dominion announcement, and an 80% pro forma regulated cash-flow mix, support the case for tighter credit spreads and cheaper future debt issuance than the current 18-19% FFO/debt band implies.
- Defensive multiple re-rates on rate cuts. NEE's ~0.65 beta and bond-like regulated cash flows have historically re-rated higher in a falling-rate environment; any further dovish shift in Fed policy through 2027 would support the dividend-yield anchor at a materially lower required yield than our base case.
- Gas and nuclear optionality beyond the announced hubs. NextEra's fuel-diversified generation fleet and existing nuclear assets position it to capture additional firm-power contracts for data centers that specifically require round-the-clock carbon-free or dispatchable supply, a growing subset of hyperscaler procurement.

DOWNSIDE RISKS

Risks that would drive the shares below our price target include, but are not limited to, the following:

- Equity issuance dilutes per-share growth. A \$4bn ATM program and \$2.0-2.3bn of equity units in the first two months of 2026 alone, against an estimated \$29bn/year of negative discretionary cash flow through S&P's forecast period, means per-share EPS growth is a function of issuance discipline the company does not fully control.
- Dominion deal execution and timeline risk. 12-18 months to close, multi-state regulatory approval (Virginia, the Carolinas, Florida, FERC), and Dominion's Coastal Virginia Offshore Wind project, whose budget has already grown to \$11.4bn from \$9.8bn while roughly 75% complete, are all live risks between now and close.
- The 9%+ combined-company growth algorithm is unproven. It was announced alongside the deal and has not been tested against a single quarter of results; if synergies or accretion disappoint, the credibility gap that already dogs long-dated utility growth algorithms widens.
- The data-center bull case is mostly not yet contracted. FPL's 21GW of large-load "interest" and 12GW "in advanced discussions" had produced zero signed tariff customers as of the April call; a slower-than-expected conversion would undercut the single most-cited catalyst for the stock.
- OBBBA's cliff is real. Full 45Y/48E credits require construction starting by 4 July 2026 and in-service by 2029-2030 on that safe harbor, or in-service by 31 December 2027 outright; projects that miss both windows lose the credit entirely, and FEOC sourcing thresholds rise from 40% non-restricted content in 2026 to 60% by 2030.
- FPL rate-case appeal. The Office of Public Counsel has signaled intent to pursue the settlement to the Florida Supreme Court; while we treat reversal as unlikely, an adverse outcome would reopen the ROE and rate-base assumptions underlying roughly two-thirds of consolidated earnings.
- Credit metrics offer little cushion. S&P's own FFO/debt estimate of 18-19% sits close to its stated downgrade triggers; a capital plan that grows faster than planned, or equity markets that close at a worse price, would pressure the A-/Baa1 ratings that underpin NextEra's funding-cost advantage.
- Labor and supply-chain bottlenecks. Management flagged that gas-plant construction crews are competing with LNG and data-center projects for the same skilled labor pool, a real constraint on both the 9.5GW Texas/Pennsylvania gas hubs and the broader Energy Resources build plan.
- Valuation offers limited cushion. At 21.6x NTM adjusted EPS against a regulated-utility peer group that historically trades in the high teens, NEE already carries a premium multiple; any combination of slower backlog conversion, merger delay or higher long-term rates compresses that premium faster than earnings can grow into it.

ANALYST CERTIFICATION

I, Akul Veauli, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject company and its securities. I also certify that no part of my compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed in this report. I am a real person and the sole author of this report. I am not a registered or certified research analyst: any "AC" analyst-certification mark previously shown next to my name was self-applied for layout purposes, is not a real credential, and has been removed. "Akul Veauli Securities LLC" is an invented firm name and is not a real or registered entity.

IMPORTANT DISCLOSURES

Estimate and market-data sourcing, continued from the cover page. Dividend/share is the annualized rate declared each February; FY27E is analyst-derived from the guided 6% 2026-2028 dividend growth rate, not a declared figure. FPL regulatory capital employed growth and Energy Resources backlog are per company disclosure; forward-year figures are not guided annually and are omitted ("-") rather than estimated. P/E computed on the \$85.73 close of 17 Jun 2026.

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Estimate sourcing: FY2026 adjusted EPS guidance of \$3.92-4.02 was issued 27 January 2026 and reaffirmed 23 April 2026; FY2027E adjusted EPS of \$4.36 is published Street consensus (23 analysts, Barchart/FactSet aggregator snapshot dated 27 March 2026) and predates the 18 May 2026 Dominion Energy merger announcement, which we could not confirm reflected in an equally detailed, dated aggregator snapshot as of our as-of date. Analyst price-target consensus is drawn from two dated snapshots, a pre-merger \$93.19 average (23 analysts, 27 March 2026) and a post-merger \$101.45 median (11 analysts, as of 4 June 2026); we average the two rather than rely on the smaller post-announcement sample alone. FPL and NextEra Energy Resources segment results, the 33GW Energy Resources backlog, the FPL large-load "interest" and "advanced discussions" figures, and management quotations are sourced from the Q1 2026 earnings release and call (23 April 2026) and the Q4/FY2025 earnings release and call (27 January 2026). FPL rate-case settlement terms are per the Florida Public Service Commission's 20 November 2025 order and contemporaneous press coverage (WUSF, Florida Phoenix). Dominion merger terms are per the 18 May 2026 joint press release and investor presentation. Credit ratings and credit metrics are per S&P Global Ratings (RatingsDirect, 30 April 2026) and S&P and Moody's rating-action releases dated 18 May 2026. Short interest (2.6% of shares outstanding, settlement date 29 May 2026) and average daily volume (18.4mm shares) are per a public short-interest data aggregator. Beta is per a public data aggregator and is not independently dated to 17 June 2026.

The price performance chart is an indicative representation constructed from a combination of dated, sourced closing prices (including the 23 April 2026 and 24 February 2026 all-time highs, the 1 January 2026 and 17 June 2026 levels, and the approximate 18 May 2026 merger-announcement decline) and interpolated points between them. It is not a tick-accurate daily price series and should not be read as real market data.

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RATING DEFINITIONS

Overweight: total return expected to exceed the average total return of the analyst's coverage universe over the next 6-12 months. Neutral: total return expected to be broadly in line with that average. Underweight: total return expected to be below that average. For this note the rating was applied mechanically to the implied twelve-month total return from the derived price target: Overweight above +15%, Underweight below 0%, Neutral otherwise. NEE's implied return of +13.7% maps to Neutral. These are generic sell-side rating conventions, not a registered firm's published rating scale.

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